Australia's housing downturn echoes worst in 30 years – but buyers waiting for the bottom risk missing it

Australia's housing market is entering a familiar downturn, led by Sydney and Melbourne, but history shows buyers trying to time the bottom are likely to miss the rebound. Photo: McGrath New Farm

By Sarah Webb

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Australia is sliding into a property downturn that eerily echoes its worst correction in 30 years. But while economists expect this one to be shorter and hurt less, they warn buyers waiting for the bottom will probably only catch it in the rearview mirror.

As Sydney and Melbourne barrel towards their second consecutive quarter of price declines, historic cycle data shows that 2016 was the last time a slowing market collided with tighter borrowing conditions, collapsing confidence and policy uncertainty that alienated investors.

That potent cocktail fuelled the sharpest and longest downturn in three decades, with prices falling 8.5 per cent nationally and more than 14 per cent in Sydney over 18 months.

The 30-year snapshot sits in a new *Domain Price Cycle* report that maps eight completed housing cycles. It comes hot on the heels of the *FY2027 Forecast Report*, which predicts Sydney and Melbourne house prices will fall as much as 7 and 8 per cent, respectively, over the next 12 months.

Economists warn buyers waiting for the market to hit the bottom - risk missing out on opportunity altogether. Photo: Jason South

Experts expect the downturn to last up to a year and say the first whiff of a recovery will come when listings fall, auction clearance rates creep up, and sold stickers appear in suburban streets. But as clearance rates drop to near five-year lows in both Melbourne and Sydney, and inspection numbers fall, they say buyers sitting on their hands in the hopes of catching the market floor will miss it.

Domain chief of research and economics Dr Nicola Powell has spent years clocking the cycles and says if 30 years of history teaches us anything, it's that downturns are short, recoveries always follow, and most people spot the trough when prices are climbing.

“It's so hard to pick the peak or trough, and while it's human instinct to try, it's not what you should be doing,” Powell says.

“The one thing buyers and sellers get wrong is thinking it's about timing. It's not. It's about time spent in the market.

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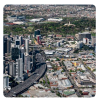

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“If you’re looking at longer-term growth, then the most valuable thing you can do is think about the location.”

What 30 years of property history tells us

The report maps eight peak-to-trough corrections since the mid-1990s and shows that the downturns produced an average fall of 2.9 per cent over eight months. By contrast, the upswings that followed delivered average gains of 32.3 per cent and lasted almost three years.

Sydney has often served as the canary in the coal mine, responding early when borrowing conditions and confidence change, before helping lead the recovery.

“I expect the cycle to repeat itself like the sun rises and sets,” Powell says.

Why this cycle feels different but eerily familiar

Powell says the forces shaping the current downturn bear a resemblance to the deepest correction in the report.

Australia’s sixth downturn in this period, from 2017 to 2019, lasted a year and a half. Interest rates weren’t rising, but the Australian Prudential Regulation Authority curtailed investor and interest-only lending, banks tightened serviceability assessments, and a banking royal commission shook confidence.

“If you look back at that downturn, a particular buyer group was alienated – investors – and we saw that impact,” Powell says.

“What’s happening now is there are cyclical dynamics, such as the higher cost of borrowing and slower economic growth, but structural changes are coming in on top from the budget.

Domain forecast Sydney and Melbourne house prices will fall as much as 7 and 8 per cent, respectively, over the next 12 months. Photo: STEVEN SIEWERT

“We have a government that’s honing in on investors, who make up 40 per cent of the market … and before they were even in place, they changed people’s decisions.

“While I think there are always some similarities to the downturns, this one almost feels a bit different because there’s this behavioural dynamic going on; it’s a strong reaction to the budget that’s created uncertainty.”

Ray White chief economist Nerida Conisbee says political uncertainty also played a starring role in the previous correction.

“Ahead of the federal election, Labor flagged negative gearing changes and, just from that, there was a huge drop in the number of properties selling,” she says. “Then when Labor didn’t win, prices boomed back up. Uncertainty is the worst for a market.”

Where Australia sits now

Powell says a downturn is typically confirmed after two consecutive quarters of falling prices.

With Sydney and Melbourne expected to record their second negative quarter when the June data is analysed, she believes the nation is only now entering the early stages. But she says not every capital is on the same path.

“It’s a multi-speed market, and for some capitals we’re just forecasting slower rates of growth,” she says. “The real weakness is in Sydney and Melbourne. But we’re also forecasting quite a shallow cycle; we are not seeing the market fall into a crash.”

The report shows Perth and Brisbane are not entering a downturn and are forecast to keep growing slowly over the next year, on the back of sustained population pressure, supply shortfalls and rental vacancy rates near historic lows.

Conisbee agrees that the downturn is in its early stages, but believes the market is at its most painful right now.

“I’d qualify now as being a period of uncertainty,” she says. “We’re not sure how long it will go for, but I suspect by September it will have reached a stabilisation.”

While the downturn is in its early stages, some economists believe the market is at its most painful right now. Photo: Supplied

Rates, consumer confidence and lending restrictions fuel peaks and troughs

The Domain report shows every recovery has had the same catalyst: a turning interest-rate cycle.

Powell thinks the cash rate has peaked at 4.35 per cent, and when the predicted rate cut comes in June next year, borrowing capacity will lift, confidence will return, and demand that has been accumulating on the sidelines will move back into the market.

However, Conisbee adds that construction bottlenecks play a role, and buyer sentiment has an enormous impact on the market, accelerating both downturns and upswings.

“Buyers are always hesitant in a down market, but they pile in quickly when it turns around,” she says. “And when it does turn, it will be fast.”

Both agree that a rate hike could delay the recovery.

The key signs we’re back on the rise

Conisbee says one of the earliest signs of a recovery will be a turnaround in open-home attendance.

“We track around 12,000 listings each week, and inspections have been falling since the start of the year,” she says. “When we start to see an improvement, we’ll feel more confident that things are improving.”

Powell says auction clearance rates and listings are also critical.

A healthy market generally clears about 60 per cent of properties, compared with recent results, which in Sydney have sat in the high 40s.

“Listings are one of my go-to metrics for seeing what part of the cycle we’re at,” Powell says. “You can almost pick when a market is moving into a recovery phase because listings start to plateau. When the annual change turns negative, that’s when the foot gets put on the gas.”

Domain’s March figures show listings were 17.2 per cent higher nationally than a year earlier and more than 26 per cent higher in Sydney. Perth and Adelaide remained below their five-year averages.

Sydney will again be the canary in the coal mine

Buyer’s agent Deborah West of Sydney Slice says the downturn is affecting various markets differently, but believes that, as in many cycles before, the NSW capital will lead the nation out of the decline.

“We’re definitely still on the way down,” she says. “Clearance rates are lower, inspection numbers are down, and buyer sentiment hasn’t shifted.”

West adds that nervous vendors are holding stock back and putting an artificial floor under prices, meaning Sydney will not need a flood of buyers to move again.

She expects blue-chip suburbs and premium properties to lead the next upswing.

“By the time the media reports the market has turned, it’s already turned,” she says. “One big mistake buyers make is trying to pick the bottom.

“Don’t wait for certainty – wait for confidence.”